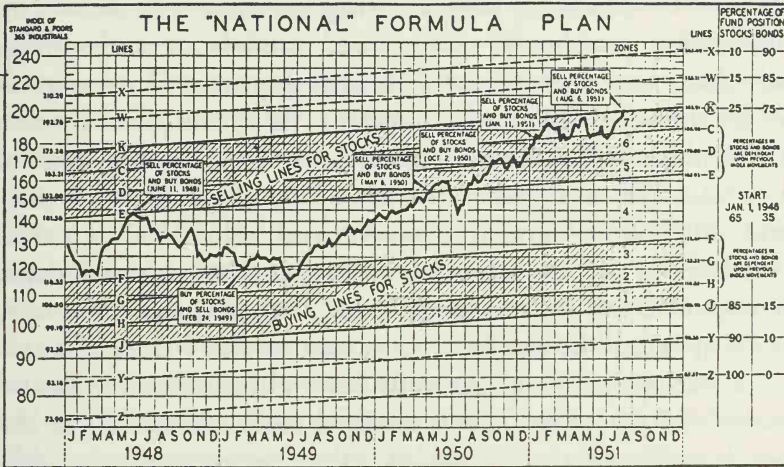


market. Adding to the woe, this Plan had the investor 75% in bonds just as interest rates were unpegged and the 30-year bear market in bonds began.



The 1951 edition of Graham and Dodd's *Security Analysis* commented on formula timing plans as follows:

They are especially popular with the finance committees of colleges, philanthropic institutions, and the like, where the trustees are justifiably anxious to mitigate the responsibilities of common stock investment with the aid of reasonable appearing impersonal devices.

All of which sounds remarkably like today's approach toward passive cores and indexing.

Another glance at Chart I used by Keystone Custodian Funds as the basis for a formula timing approach, shows the Dow Jones Industrials at 350; and near the upper limit of the band. The Dow was just about to soar beyond the limits of the bands over the next ten years by rising by 100%; after 1954, it would remain in Zone 7 until this day. So much for another investment "answer"!